

On March 2, 2000, the data-networking company 3Com Corp. sold 5% of its Palm, Inc. subsidiary to the public. The remaining 95% of Palm's stock would be spun off to 3Com's shareholders in the next few months; for each share of 3Com they held, investors would receive 1.525 shares of Palm.

So there were two ways you could get 100 shares of Palm: By trying to elbow your way into the IPO, or by buying 66 shares of 3Com and waiting until the parent company distributed the rest of the Palm stock. Getting one-and-a-half shares of Palm for each 3Com share, you'd end up with 100 shares of the new company—and you'd still have 66 shares of 3Com.

But who wanted to wait a few months? While 3Com was struggling against giant rivals like Cisco, Palm was a leader in the hot “space” of handheld digital organizers. So Palm's stock shot up from its offering price of \$38 to close at \$95.06, a 150% first-day return. That valued Palm at more than 1,350 times its earnings over the previous 12 months.

That same day, 3Com's share price *dropped* from \$104.13 to \$81.81. Where should 3Com have closed that day, given the price of Palm? The arithmetic is easy:

- each 3Com share was entitled to receive 1.525 shares of Palm
- each share of Palm closed at \$95.06
- $1.525 \times \$95.06 = \144.97

That's what each 3Com share was worth based on its stake in Palm alone. Thus, at \$81.81, traders were saying that all of 3Com's other businesses combined were worth a negative \$63.16 per share, *or a total of minus \$22 billion!* Rarely in history has any stock been priced more stupidly.⁹

But there was a catch: Just as 3Com wasn't really worth minus \$22 billion, Palm wasn't really worth over 1,350 times earnings. By the end of 2002, both stocks were hurting in the high-tech recession, but it was Palm's shareholders who really got smacked—because they abandoned all common sense when they bought in the first place:

FIGURE 18-3

Palm's Down